

Summary of Witnesses' Criticisms of the Present System

140. Some of the factors which contribute to the rigidity of the present system were the subject of complaints by a small number of agents. A few members of the national societies complained of these societies' rules concerning supplanting, canvassing, advertising and fee-cutting (see paragraphs 36-38). The complaints from agents who did not belong to any local association (including some agents who cut fees) all concerned the behaviour of these bodies.

141. The following general criticism of these bodies was made by one of the agents who did not belong to any local association. He said that all local associations of which he had knowledge

make observance of the senior professional societies' code of conduct a condition of membership. In so far as these rules are restrictive of competition, we disagree with them. Broadly speaking their purpose is to allow competition in selling once instructions have been received, but to prevent almost any kind of competitive business promotion to attract instructions.

The remainder had two main complaints about the behaviour of local associations. The first complaint was that these associations exerted pressure on local advertising media whereby non-members were either given access to these advertising outlets only on unfavourable terms or denied access altogether. The second complaint was that members of local associations would not co-operate with non-members (see paragraphs 44-45).

142. There were a few complaints from the public about the lack of variation in estate agents' terms, and consumers' organisations said that the rigidity of the present system of estate agency was hindering reform of the system of house transfer as a whole. The Consumers' Association and the Consumer Council said in a joint memorandum, later supported by the National Federation of Consumer Groups, that the general lack of competition among agents and the fact that they operated in a sellers' market together afforded agents no incentive to improve the system of house transfer while the lack of price competition between agents in fees 'may be permitting inefficient firms to charge more than they need'. These bodies also said that there were too many estate agents and that many individual agents were inefficient. Their excessive numbers led to the market being fragmented to an extent which meant that applicants were often forced to go to many agents before they could obtain particulars of suitable property.

143. There were only a few complaints from vendors about the general level of fees. Several agents from areas where sole agency was not the usual custom told us that the level of fees could be reduced if sole agency were to become the usual custom in their areas; one thought that a reduction in fees would encourage sole agency.

144. In an unpublished survey of house purchase* Mr. John Greve said that, while the level of fees was often justified by reference to the costs of estate agency (including the costs of abortive work), it might be kept up

(especially during periods of heavy demand for houses) . . . because there are too many agents each of whom sells too few houses to permit a more reasonable commission to be charged. If there were fewer agents, each, on average, would tend to sell more houses and the level of commission would come down.

145. Ten vendors complained that they were forced to pay standard fees in return for little service, and the principal argument which witnesses employed against the ad valorem basis of the present method of charge for sale (see paragraph 61) was that it did not relate remuneration to the work actually done in individual cases. An example of an argument of this nature comes from the Greve Survey:

It is difficult to justify the view that a client should pay the same commission to an agent no matter how little or how much the agent does to earn it, or that there should be such a heavy subsidy element in the commission paid on quick and simple transactions on which the agent may only have expended minutes of his time.

146. Mr. Greve thought, with the consumers' organisations referred to in paragraph 142, that 'there is a case for reorganising estate agents' charges so that what they receive is more clearly correlated with what they have to do to sell houses'. Although none of these witnesses went so far as to recommend an alternative method of charge for sales, the consumers' organisations saw some attractions in a quantum meruit system, i.e. a system of charging for work actually done. They said that the employment of this system 'would make possible more effective costing of an agent's operation and could lead the way to higher efficiency. If a satisfactory system of charging could be developed, it might encourage more enterprising selling methods'. Another attraction of quantum meruit as a method of charge, according to some agents, was the fact that its adoption would cause abortive work to be remunerated. A few agents and a member of the public were generally in favour of its adoption, but they did not go into details.

147. One agent said that he would like to relate remuneration more closely to work actually done without abandoning the ad valorem method of charge altogether. If the national societies to which he belonged would allow him to do so, he would reduce fees for properties of a given value which were easy to sell, since the amount of work needed to sell different properties of the same value could vary considerably.

148. Some agents thought that they should be paid separately for one or more of the services which they rendered in sales by private treaty (see appendix 9) and which were now covered in many parts of southern England by a single contingency fee. None of the separate fees suggested would affect either the ad valorem basis of the sale fee itself or the freedom of the vendor from liability for the payment of the sale fee except upon the contingency of a successful sale (see paragraph 52), but some agents

* Mr. Greve, now senior lecturer in Social Administration at the University of Southampton, conducted this survey on behalf of the Research Institute for Consumer Affairs, and the Consumers' Association and the Consumer Council incorporated it as part of the evidence which they submitted to us. The survey was based on evidence from 786 people who moved house in London, Bristol and Newcastle between 1959 and the spring of 1963, but it did not include any evidence on the costs of estate agency.

said that a system of separate charges would contribute to the ability to reduce the size of the sale fee.

149. Several agents advocated various charges to cover abortive work and some said that the very existence of such charges would lessen the incidence of abortive work. These suggestions included a fee calculated upon the value of the property, a registration fee for vendors (suggestions ranged from 5s. 0d. to £10), and a fee to be charged to the vendor for withdrawing property from an agent's hands except for good reason. Some agents thought that the registration fee should be refunded to the vendor upon the making of a sale.

150. Other suggestions for separate charges were that advertising expenses should be charged for in areas where these expenses were now absorbed in the sale fee, or that the vendor should be charged for the advice he was given on the appropriate price to ask for his house. One agent said that as well as the contingency fee there should be not only registration and valuation fees but also a small interview fee. He thought that the adoption of his suggestion would lead to professionally qualified agents concentrating upon the valuation of property to a greater degree than at present and would encourage the growth of a class of agent whose business would be confined to property sales.

151. One of the agents who charged a fixed sum said that 'it is no more difficult to sell a £2,000 house to a £2,000 customer than it is to sell a £10,000 house to a £10,000 customer' and that his method of charge was 'fairer to all'.